

DEPARTMENT OF ECONOMICS

UNIVERSITY OF CALABAR

SECOND SEMESTER EXAMINATION. SESSION 2024/2025.

Date: 27/6/2025. CAPITAL MARKET II Course Code: ECO 210

ANSWER ANY 3 QUESTIONS

1a. The Securities and Exchange Commission (SEC) plays a central role in regulating the Capital Market in Nigeria. Mention and discuss four of such roles.

1b. Discuss three crucial roles played by the Nigerian Deposit Insurance Corporation (NDIC) in stabilizing the financial system?

2a. What do you understand by stock exchange demutualization?

2b. List and briefly explain the three types of stock exchange demutualization.

2c. List at least five functions of Security and Exchange Commission (SEC) as the apex regulatory institution in the capital market.

3. Compare and contrast the roles of Stock Brokers, Jobbers, Investment Advisers, and Fund/Portfolio Managers in the Nigerian Capital Market. Your answer should cover three (3) of their key responsibilities and three (3) of their contribution to market efficiency.

4a. Demonstrate the rationale behind the establishment of the Abuja Securities & Commodities Exchange.

4b. What do you understand by a floorless remote trading system? Identify and explain four (4) of the features of Floorless remote trading system.

5a. Itemize and discuss 5(five) key events in the development and evolution of the Nigerian capital market.

5b. Discuss 5 objectives of the Indigenization decree or the Nigerian Enterprise Promotion Decree of 1972.

6. Write short notes on the following:

- a. Offer for sale and offer for subscription
- b. Initial public offer and central securities and clearing systems
- c. Rights issue and private placements
- d. Primary market and secondary market